

h. Homeowner Risk Factor

The Homeowner Risk Factor is a rating component made up of data derived from claim experience and a Property Insurance Score. The factor will be calculated at new business, reinstatements with a lapse and renewals. If a discount factor is applied to a policy, the Homeowner Risk Factor will be referred to as the PropertyPlus discount.

New Business for New Property Policy Customers

- For first time property accounts, new customers may be eligible for a claim history score of up to and including a 5. A Property CLUE report should be ordered to verify claim history.
- A Property Insurance score will be ordered and applied.

New Business for Returning Property Policy Customers

- For customers who previously had an active property policy within the last 5 years, they may be eligible to use their claim history score from their past property policy. A Property CLUE report should be ordered to verify claim history.

If no claims are found: The customer may be eligible to use their claim history score from their past property policy or increase their previous claim history score up to and including a 5, whichever is greater.

If claims are found: Refer to the Claim Application below to establish the claim history score.

- The existing Property Insurance score may be used if less than 3 years old.

New Business for Existing Property Policy Customers

- For customers who are adding an additional property policy and/or replacing an existing policy, they may be eligible to use their claim history score from their existing active property policy. A Property CLUE report should be ordered to verify claim history on the new policy.

If no claims are found: The customer may be eligible to use their current claim history score (no greater than 10).

If claims are found: Refer to the Claim Application below to establish the claim history score.

- The existing Property Insurance score may be used if less than 3 years old.

Subsequent Homeowner Risk Factor Update at Renewal & Reinstatement with a Lapse

- Current claim history will be evaluated and the claim score adjusted accordingly.
- A Property Insurance score may be reordered and the element adjusted.

*For Homeowner new business first time property accounts, a claim is defined as any type of claim (weather and/or non-weather) that has a Net Paid Loss greater than \$0. However, any weather-related claim that resulted in the replacement of the whole roof surface covering will not be defined as a claim.

*For Homeowner new business returning customers (5 or less years ago), a claim is defined as any type of claim (weather and/or non-weather) that has a Net Paid Loss greater than \$500. However, any weather-related claim that resulted in the replacement of the whole roof surface covering will not be defined as a claim.

*For customers who have an existing property policy, a claim is defined as any type of claim (weather and/or non-weather) that has a Net Paid Loss greater than \$500.

